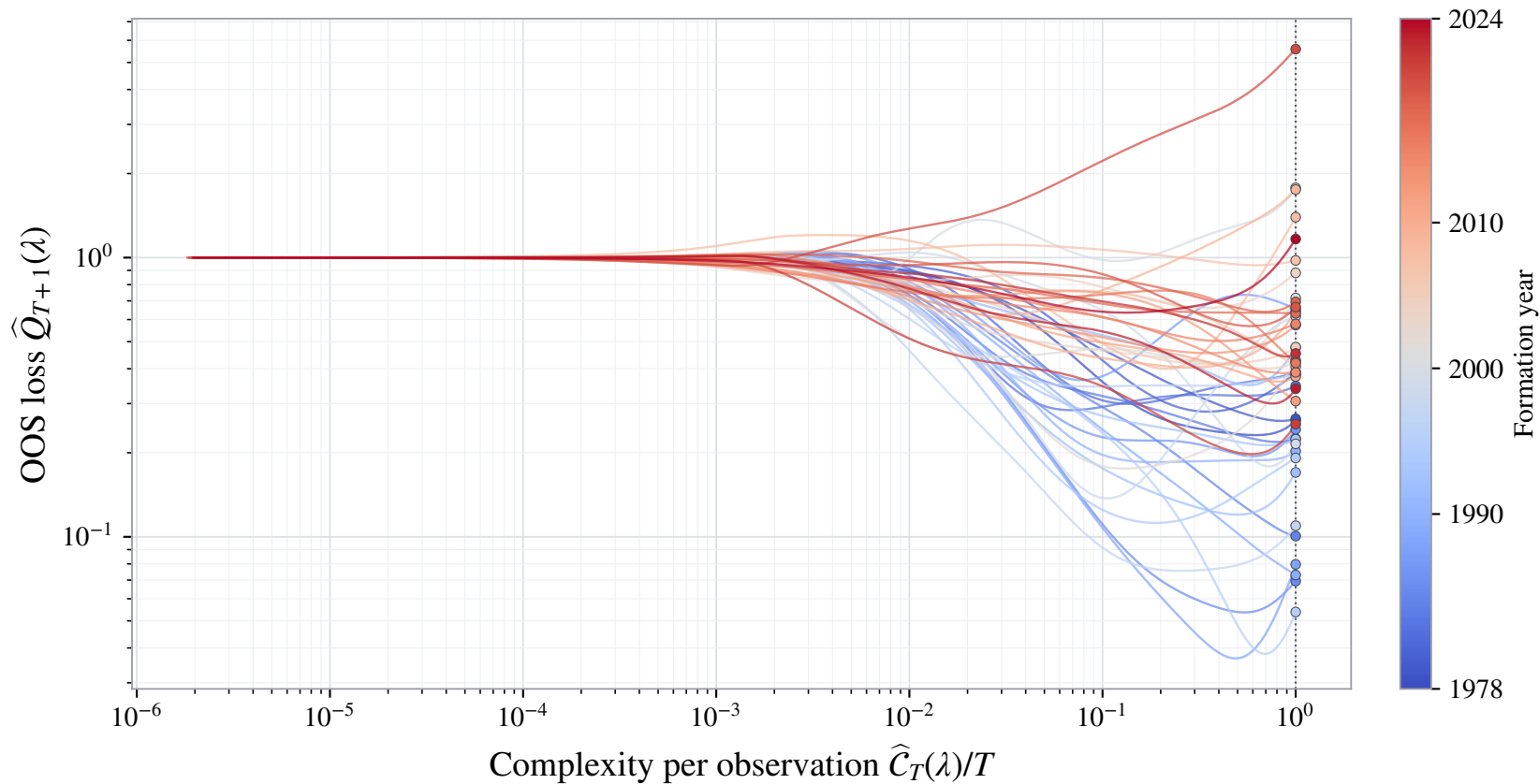


Out-of-sample loss and portfolio complexity

Matérn-3/2 · 200 initial C_0 candidates · 1,202 diagnostic points per year



Each line: one annual refit, evaluated on its 12 subsequent monthly payoffs.

February-January payoffs. Endpoint dots mark exact $\lambda = 0$; complexity reaches historical rank.

T counts historical monthly managed payoffs used for fitting (180-732), excluding the test year.